

STEP 5

I INTERROGATE COSTS, CONSISTENCY, AND CAPACITY

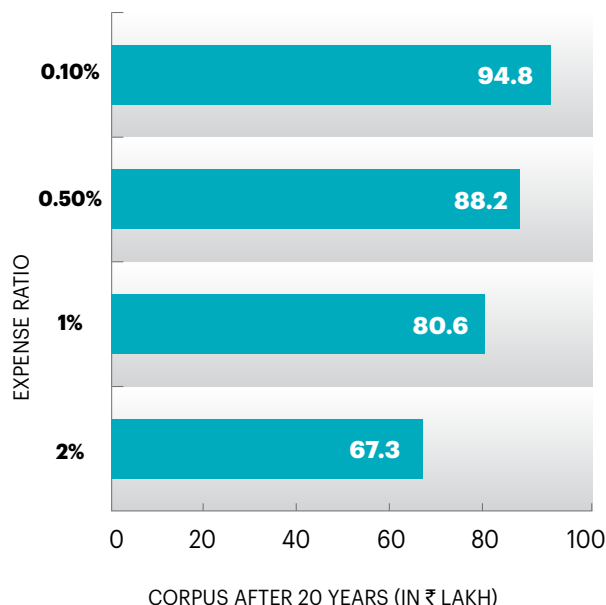
Costs compound. Here's the arithmetic I can't un-see: a ₹10,00,000 lump sum at 12% before fees ends at ₹67.28 lakh (2.0% TER), ₹80.62 lakh (1.0%), ₹88.21 lakh (0.5%), ₹94.75 lakh (0.1%) in 20 years. That ₹20 lakh + gap between 2.0% and 0.5% is bigger than most "alpha" people chase.

Consistency beats a hot streak. I want funds that sit in the top half for majority of rolling windows and defend better when it's ugly (downside capture < 100%).

Capacity matters. When a small-cap fund grows rapidly—for example, from ₹3,000 crore to ₹35,000 crore in four years—it inevitably dilutes its top-stock concentration and moves up the market-cap ladder. As a result, the fund can no longer take the same high-risk, high-reward positions it once could, making future outperformance more difficult.

TINY DIFFERENCE IN TER CAN PROVE COSTLY

• Value of a ₹10 lakh investment at different TERs after 20 years



NOTE ASSUMING ANNUAL GROSS RETURN OF 12% PER ANNUM



STEP 6

I OPEN THE HOOD FOR A TWO-MINUTE AUDIT

Equity: I look for a percentage in top holdings (I prefer ≤12–15%), % in top 10 (core funds ≤45%), style discipline (no sudden lurches), and sector balance.

Debt: I read the credit map (AAA/SDL/Gilt), check duration matches the label, and skim for long-tail paper that won't trade when I need it to.

STEP 7

I SIZE POSITIONS WITH HARD LIMITS

Single fund: 10–15% of equity sleeve; 15–20% of debt core.

Satellites (all put together): ≤10% of the total portfolio.

Example: If my equity sleeve is ₹20 lakh, two mid-cap funds at 6% each are plenty; three "fun" thematic at 1–2% each scratch the itch without hijacking the plan.